

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

20230930-DK-BUTTERFLY-1, INC.	X	
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	:	FMC Docket No. 25-01
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Complainant,:	:	
	:	
vs.	:	
	:	
BAL CONTAINER LINE CO., LIMITED,	:	
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	:	
Respondent.:	:	
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	X	

**RESPONDENT BAL CONTAINER LINE CO., LIMITED’S
PROPOSED FINDINGS OF FACT**

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PROPOSED FINDINGS OF FACT

I. INTRODUCTION

1. Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), alleges that BAL violated 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 with respect to detention and demurrage (“D&D”) charges assessed in 2021 and 2022. APP-14, 22 (BBBY’s Verified Complaint ¶¶ 1, 35).¹

2. BBBY’s Verified Complaint also asserted a separate Count II for alleged violation of 46 U.S.C. § 41104(a)(10). APP-23 (BBBY’s Verified Complaint ¶¶ 37-38).

3. BBBY’s Opening Brief does not develop Count II, and its legal framework, argument headings, and conclusion are limited to Count I under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5. RX 560, 565, 568, 585-586 (BBBY’s Opening Br. at i, 3, 6, 23-24).

II. BAL, ITS PERSONNEL, AND ITS D&D ADMINISTRATION

4. During the relevant period, BAL was a licensed ocean common carrier that provided containerized cargo transportation services between Asia and the United States. APP-1251 (Vogt Dep. Tr. at 57:20-21); RX 1-8 (BAL Tariff).

5. During the relevant period, BAL operated under published tariffs that set forth its D&D rules, free time, and rates. RX 1-8 (BAL Tariff).

6. At BAL, Cathy Sun served as Director of Equipment Control and was responsible for tracking and managing containers and handling detention matters. APP-1197-1198 (Sun Dep. Tr. 21:11-25, 23:18-20).

7. At BAL, Parker Zhu served as Assistant to the Senior Vice President and was responsible for accounts payable and collecting funds from customers, including demurrage. APP-1385-1387, 1395 (Zhu Dep. Tr. 38:24-40:4, 48:19-23).

¹ References to Complainant’s Appendix are denoted as “APP-”; references to Respondent’s Appendix are denoted as “RX”.

8. Cathy Sun, who is not a native English speaker but who testified through a translator, testified that the purpose of BAL's detention charges was "to expedite the flow between the goods and the container." APP-1178 (Sun Corp. Dep. Tr. 9:14-17); APP-1194, 1196 (Sun Dep. Tr. 9:3-6, 14:14-16).

9. BAL announced its rates on the FMC website in advance, issued proper invoices, and removed closed days from detention invoices in accordance with FMC guidance. APP-1210 (Sun Dep. Tr. 71:20-72:2).

10. The invoices sent to customers were in accordance with the published rate filed with the FMC. APP-1213-1214 (Sun Dep. Tr. 85:21-86:4) ("The invoice sent out . . . by our agent was in accordance to the published rate. Q. With the FMC, correct? A. Yes.").

11. BAL retained Norton Lilly International ("Norton Lilly") as its agent to handle certain operational functions in the United States with respect to detention, including calculating detention charges according to BAL's rates and container activity and creating, issuing, and collecting detention invoices on BAL's behalf. APP-1179-1180 (Sun Corp. Dep. at 10:2-8, 14:22-15:7); APP-1201-1202 (Sun Dep. at 37:20-39:9); APP-698 (Kardian Dep. Tr. 168:2-8).

12. Norton Lilly communicated with BAL on a daily basis regarding container activity and abnormalities. APP-1202 (Sun Dep. at 39:13-20).

13. BAL appointed marine terminal operators ("MTOs") in the United States to calculate, assess, and collect demurrage fees on BAL's behalf. *See* APP-1398 (Zhu Dep. Tr. 51:5-17) ("[T]he demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes. And the clients would most likely contact the terminal directly and the terminal might make the adjustments directly."); *see also* APP-1396, 1434 (Zhu Dep. Tr. 49:13-51, 87:21-24); APP-698 (Kardian Dep. Tr. 166:13-167:25).

14. Parker Zhu testified that demurrage charges were created according to data provided by the terminals and that there existed "very little false information or mistakes." APP-1398 (Zhu Corp. Dep. Tr. 51:5-17).

15. In documents provided by SSA and TraPac (MTOs in Los Angeles and Long Beach),

these MTOs confirmed that they extended free time when the terminal was closed or when truckers could not return empty containers. RX 36-37 (Kardian Expert Report at 28-29).

16. The terminals maintained records of closed dates and issued “trouble tickets” to document events when containers were inaccessible or unavailable for pickup, at which point free time was extended and no demurrage was charged. *See* RX 50-51 (Kardian Expert Report at 42-43).

17. Parker Zhu acknowledged that charging demurrage for containers placed in inaccessible areas of a terminal is unreasonable and testified that terminals had already reduced such charges when a container was inaccessible during that time. APP-1334 (Zhu Corp. Dep. Tr. 23:8-25) (“When a container is placed in an inaccessible area of the terminal and if the terminal still charges fees for this time, I believe it’s unreasonable to the beneficiaries. The terminals, they understand this problem and therefore their invoices has already reduced such a charge when the container is inaccessible during this time.”)

18. Parker Zhu, BAL’s corporate designee responsible for demurrage, confirmed that the policy of BAL and the terminals was not to charge demurrage when the customer could demonstrate that the container at issue could not be retrieved because the container was inaccessible or because the terminal was closed. RX 455 (Declaration of Parker Zhu, p. 3 ¶ 25).

III. BAL’S DISPUTE REVIEW PROCESS

19. Norton Lilly, acting as BAL’s agent, maintained a list of terminal closed dates based on terminal statistics. APP-1180 (Sun Corp. Dep. Tr. 15:25-16:15).

20. With respect to detention, BAL provided Norton Lilly with that list of terminal closed dates, and Norton Lilly automatically removed those closed dates from detention invoices. APP-1180 (Sun Corp. Dep. Tr. 15:25-16:15); APP-1214 (Sun Dep. Tr. 86:12-15).

21. When clients claimed they were unable to obtain terminal appointments to return containers, BAL required the client to provide evidence, and after review, BAL would adjust the detention charge where the evidence was reasonable. APP-1180 (Sun Corp. Dep. Tr. 16:16-25).

22. BAL was aware of port congestion conditions at Los Angeles and Long Beach during 2021 and 2022. APP-1180-1181 (Sun Corp. Dep. 17:14-18:7).

23. BAL and those acting on BAL's behalf removed D&D charges for terminal closed dates and adjusted charges when presented with evidence of appointment unavailability. *See* APP-1180 (Sun Corp. Dep. Tr. 15:25-16:15); *see also* APP-1396-1398 (Zhu Dep. Tr. 49:24-51:17).

24. Gary Kardian testified that the Interpretive Rule is directed at the ocean carrier to invoice D&D correctly. APP-695 (Kardian Dep. Tr. 154:12-155:4).

25. Gary Kardian further testified that if circumstances prevent the container from being picked up from the terminal or the empty container returned to the terminal, then the ocean carrier should take measures to correct the invoice. APP-695 (Kardian Dep. Tr. 154:23-155:3).

26. Gary Kardian also testified that disputes and free time extensions require verifiable supporting information and that generalized assertions are insufficient. APP-691 (Kardian Dep. at 139:11-140:10).

27. A viable excuse for waiver would include a circumstance where a trucker attempted to return a container but could not because the terminal was closed or unable to receive it, and that in such circumstances the trucker should not be penalized for events outside its control. APP-667 (Kardian Dep. at 44:10-46:17).

28. Gary Kardian opined that when truckers provide sufficient and valid evidence, carriers review that information and make business decisions regarding whether to adjust or waive charges. RX 63 (Kardian Expert Report at 55) ("This is proof that the FMC's Interpretive Rule works in that if truckers provide sufficient and valid evidence, a carrier will review the information and make sound and reasonable business decisions, like BAL did in this case.").

29. With respect to demurrage disputes, Parker Zhu testified that customers seeking to dispute charges must provide the bill of lading, container number, and supporting documents reflecting the basis for the dispute, after which BAL would proceed once the information was verified. APP-1397-1398 (Zhu Dep. Tr. 50:17-51:4).

30. Parker Zhu confirmed that incorrect demurrage invoices were extremely rare during

2021-2022 because the demurrage charges were created according to terminal data and involved very little false information or mistakes. APP-1398 (Zhu Dep. Tr. 51:5-14) (“The year 2021 to 2022 from my recollection I had received in my mail about two to three, but this rarely happens because the demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes.”)

31. Disputes were reviewed on a case-by-case basis and resolved where supported by verifiable evidence. APP-1202-1203 (Sun Dep. Tr. 40:25-42:14); APP-1397-1398 (Zhu Dep. Tr. 50:17-51:4); RX 50-51 (Kardian Expert Report at 42-43).

32. Cathy Sun testified, “We don’t have much FMC complaints because we have been reasonable.” APP-1212 (Sun Dep. 78:8-15).

IV. LACK OF DIRECT RELATIONSHIP BETWEEN BAL AND BBY

33. BAL did not enter into any service contract with BBY and had no direct relationship with BBY. APP-1213 (Sun Dep. Tr. 85:17-20) (“Was there ever a direct contractual relationship between BAL and BBY? A. No.”); RX 18 (Kardian Expert Report at 10).

34. BAL did not issue any master bills of lading to BBY and did not collect any freight monies directly from BBY. RX 18 (Kardian Expert Report at 10).

35. All 618 container loads that BBY shipped on BAL vessels were booked through non-vessel-operating common carriers (“NVOCCs”). RX 31 (Kardian Expert Report at 23).

36. BAL dealt with NVOCCs, and NVOCCs dealt with BBY. Although BAL knew the NVOCC customers, BAL had no way of knowing the ultimate customers or co-loaders on any given shipment. APP-695, 701 (Kardian Dep. Tr. 156:20-157:2, 181:18-183:20).

37. No one at BBY ever reached out to speak with anyone at BAL. RX 33 (Kardian Expert Report at 25); APP-899 (Klosowsky Dep. Tr. 55:3-6); APP-600 (Hackett Dep. Tr. 8:8-13); APP-1114 (Porter Dep. Tr. 7:9-12).

38. Prior to BBY’s lawyers reaching out to BAL to threaten this lawsuit, BBY never contacted BAL directly to dispute any D&D charges. *See* RX 33 (Kardian Expert Report at 25);

see also APP-899 (Klosowsky Dep. Tr. 55:3-6); APP-600 (Hackett Dep. Tr. 8:8-13); APP-1114 (Porter Dep. Tr. 7:9-12).

39. BBY never reached out to BAL at any time to complain about, dispute, or request reconsideration of any specific detention or demurrage invoice. RX 33 (Kardian Expert Report at 25); APP-899 (Klosowsky Dep. Tr. 55:3-6); APP-600 (Hackett Dep. Tr. 8:8-13); APP-1114 (Porter Dep. Tr. 7:9-12).

40. Prior to this proceeding, BBY's attorneys sent a demand letter to BAL's counsel demanding reparations demurrage and detention charges. RX 30 (Kardian Expert Report at 22).

41. BAL's counsel corresponded with BBY's counsel on multiple occasions, requesting that BBY provide evidence to support its claims, including evidence that detention fees were charged for days when a container could not be returned or demurrage fees were charged for days when a container was unavailable for pickup. RX 30 (Kardian Expert Report at 22).

42. BBY provided no information to substantiate any wrongdoing on the part of BAL in response to those requests. RX 30 (Kardian Expert Report at 22).

V. BBY'S OPERATIONS, VOLUME INCREASES, AND WAREHOUSE CONSTRAINTS

43. In 2019, BBY made a business decision to double its imports from Asia in order to stock more private label merchandise. RX 21, 23 (Kardian Expert Report at 13, 15).

44. At a time when BBY's warehouses were already full, BBY was ordering two to three times as many containers into Southern California as before the pandemic. BBY witness Melinda Porter confirmed the result: "Containers in the yard, yes, we were full." RX 177 (Respondent OOCL's Answering Brief to Complainant's Brief at 40, *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Feb. 27, 2025)).

45. According to testimony from one of BBY's warehouse managers, import volume in the Southern California region increased from 5,000 containers in 2019 to 10,000 in 2020, 15,000 in 2021, and 17,000 in 2022. RX 177 (Respondent OOCL's Answering Brief to

Complainant's Brief at 40, *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Feb. 27, 2025) (citing Stupnik Tr. 43:7-45:7).

46. In August and September 2021, BBY booked for transport and shipped approximately 590 containers from Asia to the United States, even though it had no available warehouse space upon arrival. RX 178 (Respondent OOCL's Answering Brief to Complainant's Brief at 41, *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Feb. 27, 2025) (citing Delprete. Tr. 179:20-180:10, "BBY was one of the shippers who 'were ordering a lot of inventory, and so hence the demand driving up, so a lot of customers just couldn't absorb the additional cargo that they were importing, hence the warehouse and distribution centers couldn't digest it.'")).

47. In September 2021, BBY also booked an additional 200 FEUs (the equivalent of 400 TEUs) at the same time its warehouses in the U.S. West Coast were full. RX 178 (Respondent OOCL's Answering Brief to Complainant's Brief at 41, *20230930-DK-Butterfly-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Feb. 27, 2025) (citing Hackett Tr. 160:8-161:24; RX-000979-996 (Ex. 201))).

48. Melinda Porter, BBY's manager responsible for warehouse operations at the City of Industry, Walnut, and Santa Fe Springs facilities, testified directly about the internal bottlenecks that prevented BBY from moving containers in its normal course. APP-1121 (Porter Dep. Tr. 35:16-22, 36:17-37:1) ("[B]ecause of the way the containers were coming in, we couldn't always get the containers . . . And then, because our yard wasn't ideal in the situation – it was full, whether it was loaded containers, empty containers. [W]e had spacing constraints in our yards. Also with our drayage carriers, also they had issues." "[O]ur normal process couldn't work because of things that were outside of our control. So it bottlenecked our operations . . . in the sense of we couldn't always unload as quick as we possibly can because not only were we trying to bring in containers, but we also had to ship out. We had to bring in empties from our domestic carriers so we can ship out . . . So it was just kind of – we had space in our . . . yard that just wasn't flowing just because of the situation. [W]e were at capacity everywhere.").

49. Melinda Porter testified that BBY's warehouses in City of Industry, Walnut, and Santa Fe Springs were full approximately 50 percent of the time during the fall of 2021 through the end of 2022. APP-1123 (Porter Dep. Tr. 44:6-45:14).

50. Melinda Porter testified that BBY's container yards was full with both loaded and empty containers, and that BBY had severe space constraints in its yards. APP-1121 (Porter Dep. Tr. 35:16-22).

51. Melinda Porter testified that BBY's drayage carriers "had issues," that BBY's yard "just wasn't flowing just because of the situation," and that BBY was "at capacity everywhere." APP-1121 (Porter Dep. Tr. 35:16-22, 36:17-37:1).

52. Melinda Porter further testified that BBY's normal operations could not function because of circumstances that bottlenecked BBY's operations, such that BBY could not always unload containers as quickly as necessary because it was simultaneously trying to bring in containers and ship out empties from its domestic carriers. APP-1121 (Porter Dep. Tr. 36:17-37:1).

53. Melinda Porter testified that BBY was operating in "survival mode," attempting to unload containers as quickly as possible and ship product out as fast as possible to make warehouse and yard space available. APP-1119 (Porter Dep. Tr. 27:11-24) ("During that time, it was not a normal operational year for us just because of the way – containers didn't flow like they normally did just because of the COVID shutdowns, just the way the vessels arrived, just the way the ports were operating. It just was not a good time period for us. So our norm didn't come into play. So because of that, it was just kind of – we were in survival mode. So containers would arrive and depending on spacing, capacity, weather, staffing, you know, for various reasons we would unload containers as best we can and ship product out as fast as we could. It was just – basically, we were in survival mode to try to get freight in and out as fast as we could to make space.").

54. At one point, BBY had approximately \$463 million in goods sitting at its import warehouses waiting to be unloaded, which Kardian calculated equated to roughly 4,630 idle containers using a value of approximately \$100,000 per container. APP-898 (Klosowsky Dep. Tr. 50:4-13); RX 53-54 (Kardian Expert Report at 45-46).

55. Despite that backlog, BBY continued to place orders for more merchandise from Asia. RX 26 (Kardian Expert Report at 18).

56. Prior to the pandemic, BBY's staff was largely unaccustomed to dealing with detention and demurrage charges. BBY's former Vice President of Logistics testified: "I will tell you up until this time, the COVID time, we never paid detention or demurrage because we never put ourselves in those kind of situations. So a lot of this was all very new and situationally driven." APP-613 (Hackett Dep. Tr. 58:2-7).

57. [REDACTED]
RX 22 (Kardian Expert Report at 14); *see also* RX 242-248 [REDACTED]

58. [REDACTED]
[REDACTED]
[REDACTED] *see also* RX 22, 82-85 (Kardian Expert Report at 14, Exhibit 3).

59. Melinda Porter also acknowledged that the volume coming in was more than BBY had capacity to handle during 2021 and 2022. APP-1120-1121 (Porter Dep. Tr. 33:12-34:5) (Q. Did you feel like the volume coming in was just way more than you had capacity to handle in 2021 and 2022? A. . . . [T]o be honest with you, I think it – for me and my team at St. George, it was very frustrating. Because in 2020, we on-boarded the City of Industry building in anticipation of that volume increasing. We sat down and planned, like, a great plan on handling the increase of volume. And then, unfortunately, COVID happened and the containers just didn't flow the way we had anticipated. With the shutdowns, it bottlenecked everything, and it just caused a domino effect that went through 2020 into 2021. So for me and my team, it was just not optimal. Nothing flowed as we – as planned.)

60. Melinda Porter testified that during 2021 and 2022, due to the severity of conditions at the ports, BBY moved containers to locations other than its primary St. George facility, and that St. George was not always the first stop. APP-1118 (Porter Dep. Tr. 25:14-22).

61. Melinda Porter testified that some containers went by rail directly to Savannah for transport to the East Coast. APP-1119 (Porter Dep. Tr. 26:1-13).

VI. BBBY’S CHASSIS, SUPPLY-CHAIN, AND DISPUTE-HANDLING PRACTICES

62. Gary Kardian noted that ocean carriers had long ago gotten out of the chassis business and importers rely on either local chassis pools or truckers’ chassis to haul containers. RX 17 (Kardian Expert Report at 9 n.22)

63. Gary Kardian further noted that some beneficial cargo owners purchase chassis for exclusive use by their nominated truckers, but BBBY did not make that investment. RX 17 (Kardian Expert Report at 9 n.22).

64. Melinda Porter acknowledged that responsibility for obtaining chassis during the relevant period fell to BBBY’s dray carriers, who maintained their own chassis fleets, and that BBBY also relied on the chassis pool at the ports. APP-1123 (Porter Dep. Tr. 42:14-43:3).

65. Melinda Porter further confirmed that during 2021 and 2022, chassis shortages required BBBY to engage additional dray carriers, including Forrest Logistics as a broker, specifically to obtain containers with available chassis. APP-1122 (Porter Dep. Tr. 40:23-41:12).

66. Gary Kardian further observed that BBBY’s supply chain was “primitive” and that BBBY had “failed for years to upgrade” its logistics infrastructure even as it doubled import volumes. RX 22, 27, 42 (Kardian Expert Report at 14, 19, 34); APP-691-692 (Kardian Dep. Tr. 141:8-145:14).

67. Gary Kardian noted that when Mark Tritton joined BBBY as CEO in October 2019, Tritton recognized that BBBY’s supply chain needed a fundamental overhaul. APP-691-692 (Kardian Dep. Tr. 141:22-142:7).

68. BBBY’s Vice President of Global Transportation, Reid Klosowsky, testified that BBBY’s warehouses were “designed to handle a hundred containers, not a thousand.” RX 21 (Kardian Expert Report at 13) (citing Reid Klosowsky Dep. Tr. 68:20-21 in Docket 24-12).

69. During the relevant period, BBBY in fact had more than a thousand containers in Southern California waiting to be unloaded. When BBBY’s warehouses filled completely and goods moved slowly out to stores, a backlog developed in BBBY’s warehouse yards. BBBY could

not unload containers to return them to the terminals, and the containers remained mounted on chassis, draining the chassis pools in their respective areas. RX 21(Kardian Expert Report at 13).

70. BBY did not designate employees to review or dispute the growing D&D charges, even as those charges mounted into the millions of dollars. RX 24, 61 (Kardian Expert Report at 16, 53).

71. BBY did not engage EDRAI, a technology company, to improve container visibility until January 2022, after all BAL containers had already arrived, and that engagement addressed tracking rather than the fundamental warehousing and import-capacity constraints that caused containers to sit idle and D&D charges to accrue. RX 42-43 (Kardian Expert Report at 34-35).

72. BBY initially had minimal visibility into a container's status once it was discharged from the vessel, and although BBY later utilized EDRAI to improve container visibility, BBY never engaged in discussions with any marine terminal operators in Los Angeles, Long Beach, or elsewhere to arrange dedicated gate access, such as a "hoot gate" or other means to address congestion at those facilities. RX 42-43 (Kardian Expert Report at 34-35).

VII. DETENTION AMOUNTS INITIALLY INVOICED AND ULTIMATELY COLLECTED

73. BBY's own Opening Brief contends that BBY paid \$3,673,583 in detention charges. RX 585 (BBY Opening Br. at 23).

74. Norton Lilly's records show that detention invoices issued on BAL's behalf in connection with BBY's cargo initially totaled [REDACTED] RX 660-666 [REDACTED] [REDACTED] RX 63 (Kardian Expert Report at 55).

75. Thus, more than half of the detention initially invoiced on BAL's behalf was not ultimately collected. RX 63 (Kardian Expert Report at 55).

76. Put differently, more than \$4.2 million in detention charges issued by Norton Lilly

on BAL's behalf were canceled, mitigated, or waived. RX 63 (Kardian Expert Report at 55).

77. BBY's own truckers, who were familiar with the Uniform Intermodal Interchange Agreement ("UIIA") process for disputing detention charges, did not contest specific detention charges at the time they were assessed. RX 63 (Kardian Expert Report at 55).

VIII. BBY'S SPREADSHEET AND SUPPORTING PRESENTATION

78. BBY has not identified, for any specific container, what actually caused the delay that gave rise to the charge. RX 30, 66 (Kardian Expert Report at 22, 58).

79. In support of its claim, BBY submitted general allegations of port congestion, the amount of detention and demurrage billed, and a spreadsheet that, [REDACTED]

80. BBY's spreadsheet does not contain a definitive, container-specific explanation for why a particular container could not be picked up or returned within free time. [REDACTED]

81. For container [REDACTED], BBY's spreadsheet alleges only that, [REDACTED]

82. The spreadsheet for [REDACTED] does not identify a receive date, a POD-to-receive calculation, or the free time BBY contends applied to that container. [REDACTED]

83. For container [REDACTED], BBY's spreadsheet alleges that [REDACTED]

[REDACTED]
[REDACTED]
[REDACTED] together with generalized references to pandemic-related bottlenecks and port congestion. [REDACTED]

84. The spreadsheet for [REDACTED] does not provide any explanation for why container [REDACTED] specifically could not have been returned within free time, and the spreadsheet does not identify a receive date, a POD-to-receive calculation, or the free time BBY contends applied to that container. [REDACTED]

85. For container [REDACTED] BBY seeks [REDACTED] but the spreadsheet provides no PFOF citation and instead relies on [REDACTED]
[REDACTED]
[REDACTED]

86. The spreadsheet for [REDACTED] does not provide any explanation for why container [REDACTED] specifically could not have been picked up within free time, and the spreadsheet identifies only [REDACTED], not the applicable free time or any container-specific reason for the charged delay. [REDACTED]
[REDACTED]
[REDACTED]

87. BBY's spreadsheet does not provide data showing what the original D&D bills were for containers [REDACTED], which would bear on whether a discount, waiver, or mitigation had already been applied to these containers. [REDACTED]
[REDACTED]
[REDACTED]

IX. BAL'S TARIFFS AND WEBSITE DISPUTE PROCEDURES

88. BAL's published tariff set forth its D&D rules, free time, and applicable rates and was filed with the Federal Maritime Commission and publicly available in accordance with applicable law. RX 1-8 (BAL Tariff); *see also* 46 U.S.C. § 40501.

89. BAL's tariff rules included published demurrage and detention rates and rules, a Chassis Rule, BAL's Dispute Resolution Policy, and a rule pertaining to the equipment interchange

agreement between the motor carrier and BAL Container Line using the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). The UIIA specified at Section 6 that free time would be as provided in BAL’s tariff rules, and at Section 8 it set forth the Method of Dispute Resolution. RX 36 (Kardian Expert Report at 28).

90. BAL’s dispute resolution policy was clear and publicly available, published as part of BAL’s governing tariff filed with the Federal Maritime Commission. RX 19, 36 (Kardian Expert Report at 11, 28); RX 249 (BAL000002).

91. BAL’s tariff history reflects that BAL’s D&D terms were publicly posted through BAL’s FMC tariff filings during the relevant period, including Rule 21-010 as published and effective on May 14, 2021, later amended effective September 18, 2021, and later reflected in January 2022 history versions effective January 28, 2022. RX 1-8 (BAL Tariff No. 001, Rule 21-010, Publish/Eff. May 14, 2021; BAL Tariff No. 001, Rule 21-010, Publish Aug. 18, 2021, Eff. Sept. 18, 2021; BAL Tariff No. 001, Rule 21-010 history versions eff. Jan. 28, 2022).

92. BAL’s website also set out the process for disputing and resolving D&D charges. RX 249 (BAL000002).

93. As BAL’s corporate witness, Qingzhi Liu confirmed that BAL’s website policies included the procedures clients would follow when faced with D&D issues, and that those procedures were incorporated into BAL’s FMC filings. APP-971 (Liu Dep. Tr. 73:7-22).

94. Under the heading “Dispute settlement,” BAL’s website stated that if the consignee disputes the amount of demurrage or detention charged by the carrier or its designated agent (including the terminal and shipping agent), the dispute must be submitted in writing to the carrier’s PIC for D&D within 30 calendar days after issuance of the invoice of demurrage or detention. RX 249 (BAL000002).

95. The website further required the submission to attach relevant documents, including the relevant demurrage or detention invoice, container number, shipment number (booking number or Bill of Lading number), and reasons for dispute, including incorrect free time, incorrect rate, incorrect dates, or other operational issues, each with supporting documentation.

RX 249 (BAL000002).

96. BAL's website identified BAL's person in charge for D&D as "Mr. Parker Zhu, (usadd@bal.cn)." RX 249 (BAL000002).

97. BAL's website stated that BAL's D&D contact would respond with clear comments or solutions within five working days after receiving the dispute submission. RX 249 (BAL000002).

98. Customers seeking to dispute charges could contact the appropriate NVOCC, Norton Lilly, or BAL directly via email. RX 50-51 (Kardian Expert Report at 42-43).

99. Gary Kardian, former Director of the FMC's Office of Service Contracts and Tariffs, confirmed that the FMC requires carriers to make their D&D rates public so that shippers are on notice of the rates they may be charged, and that any shipper, including BBY, could have looked up BAL's published tariff to determine the per diem rate and the applicable free time. *See* APP-672-673 (Kardian Dep. Tr. 65:2-66:20).

100. BBY was bound by BAL's tariff rates for the shipments at issue. *See* APP-1213-1214 (Sun Dep. Tr. 85:21-86:4) (confirming invoices were "in accordance to the published rate" filed with FMC).

X. BAL'S RATES, DEMURRAGE COLLECTIONS, AND COMPARISON TO BBY'S CLAIMS

101. Gary Kardian prepared a comparative analysis of demurrage and detention rates charged by major ocean carriers during the relevant period. RX 34 (Kardian Expert Report at 26, Exhibit 4).

102. BAL charged \$125 per container per day for both demurrage and detention once free time expired. RX 1-8 (BAL Tariff); RX 34 (Kardian Expert Report at 26).

103. BAL's demurrage rate of \$125 per container per day, after free time expired, was lower than the rates charged by COSCO, Evergreen, Yang Ming, Ocean Network Express (ONE), Wan Hai, Hyundai, and Hapag-Lloyd. RX 34 (Kardian Expert Report at 26).

104. BAL's detention rate of \$125 per container per day was equal to COSCO and Wan Hai and lower than Yang Ming, Hyundai, and Hapag-Lloyd, and Gary Kardan concluded that these rates have been representative of the market level for quite some time. RX 34 (Kardan Expert Report at 26).

105. Congress, with the enactment of OSRA 1998, removed the FMC's authority to regulate tariff rates and charges, and at no time since OSRA 1998 became law has the FMC challenged a published demurrage or detention charge in a common carrier's tariff other than a port congestion surcharge. RX 34-35 (Kardan Expert Report at 26-27) (Congress, with the enactment of OSRA 1998, took away the FMC's authority to regulate rates and charges. At no time since OSRA 98 became law, has the FMC challenged (other than a port congestion surcharge) any rate, surcharge or demurrage and detention charge published in a common carrier's tariff.”).

106. BBY claims to have paid a total of \$9,695,192 in D&D charges, consisting of \$6,021,609 in demurrage and \$3,673,583 in detention. APP- 40 (McCown Expert Report at ¶ 35).

107. Parker Zhu performed his own analysis of BBY's data and testified that, after subtracting storage charges and maintenance fees, BAL actually collected approximately \$4.29 million in demurrage on the BBY containers at issue, not the \$6,021,609 claimed by BBY. APP-1431-1433 (Zhu Dep. Tr. 84:8-86:25).

108. Parker Zhu further testified that BBY's chart contained duplicate entries because multiple bill of lading numbers were matched to the same container number and that the duplicate entries had to be removed before an accurate total could be calculated. APP-1432-1433 (Zhu Dep. Tr. 85:24-86:15).

XI. PRIOR OOCL PROCEEDING

109. A prior FMC proceeding involving BBY and substantially similar factual and legal theories resulted in a ruling against BBY on the D&D claim. *See* RX 250 (20230930-DK-BUTTERFLY-I, Inc. v. Orient Overseas Container Line Limited, FMC Dkt. No. 23-02 (Apr. 24, 2026) [hereinafter “OOCL Initial Decision” or “OOCL proceeding”].

110. In that proceeding, BBY asserted a claim under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 based on allegedly unreasonable detention and demurrage practices. RX 250-253, 395-397 (OOCL Initial Decision at 1-3, 146-48).

111. The initial decision expressly found that “the evidence does not support a finding that OOCL violated section 41102(c) or 46 C.F.R. § 545.5 with regard to detention and demurrage charges as alleged in Count II.” RX 251-252 (OOCL Initial Decision at 2-3).

112. The ALJ noted OOCL’s position that BBY was required to prove unreasonableness on a “shipment-by-shipment, date-by-date, charge-by-charge basis” and emphasized that the “primary difference” on the detention-and-demurrage claim was the reasonableness element. RX 396 (OOCL Initial Decision at 147).

113. The ALJ further found that BBY “did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges” and instead relied on “vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges.” RX 403 (OOCL Initial Decision at 154).

114. The ALJ also found that “[g]iven that at least some of the detention and demurrage charges may have been the fault, and therefore responsibility, of BBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL.” RX 404 (OOCL Initial Decision at 155).

115. The ALJ concluded that BBY “has not established that OOCL’s detention and demurrage charging practices were unreasonable as required for a section 41102(c) claim” and denied Count II. RX 404 (OOCL Initial Decision at 155).

116. The ALJ also found that BBY did not point to Commission precedent supporting the proposition that rates are unreasonable merely because they are higher than another carrier’s rates or because they include a profit component. RX 400 (OOCL Initial Decision at 151).

117. The ALJ further found that BBY received a benefit by retaining use of OOCL’s container and chassis beyond the allotted free time and that BBY did not present the comparative

cost/benefit analysis required to determine whether the D&D charges were reasonably related to the benefit received. RX 400 (OOCL Initial Decision at 151).

XII. EXPERT AND BENCHMARK-RELATED FACTS

118. Gary Kardian, BAL's expert on tariff compliance and FMC regulatory practice, served for twelve years as Director of the FMC's Office of Service Contracts and Tariffs. During his tenure at the FMC, Gary Kardian's work included compliance for VOCCs, NVOCCs, and marine terminal operators, including processing common-carrier tariff registrations and reviewing carrier-published tariffs for compliance with applicable regulations. RX 10 (Kardian Expert Report at 2).

119. Gary Kardian opined that BBY's proof did not connect BAL's alleged revenue or equipment cost to BBY's inability to access specific containers and that McCown's opinions therefore did not establish that any particular detention or demurrage charge imposed by BAL was unreasonable. RX 66 (Kardian Expert Report at 58) ("Because Mr. McCown makes no connection between BAL's alleged revenue or equipment cost to BBY's inability to access *specific* containers, McCown's statements hold no water with respect to whether any detention or demurrage charge imposed by BAL was ultimately unreasonable.") (emphasis in original).

120. Carl Vogt testified that BAL's D&D practices during the relevant period were aligned with general industry practices. APP-1248 (Vogt Dep. Tr. 43:17-22).

121. Carl Vogt confirmed that the supply-chain and congestion conditions during the relevant period were widespread across the container shipping industry and testified that, based on the data he reviewed in this case and others, BAL's operational performance was above industry averages. *See* APP-97, 101-102 (Vogt Report ¶¶ 47, 72-81, 86); *see also* APP-1249 (Vogt Dep. Tr. 46:9-14, 47:20-24).

122. In his expert report, Carl Vogt stated that "[n]either Mr. McCown nor BBY have been able to cite any breach of contractual terms of the port to port services rendered by BAL." APP-101 (Vogt Expert Report at 10 ¶¶ 82-83).

123. John McCown acknowledged at deposition that BAL's per diem rates were broadly consistent with those charged by other carriers during the same period, testifying: "I'm broadly aware that all of the carriers had similar per diems." RX 529 (McCown Dep. 73:9-20).

124. John McCown further testified that his view was that the tariff rates of the industry generally were unreasonable on their face. RX 529-530 (McCown Dep. 73:21-74:10) ("Yeah, that is certainly my view in terms of the tariff rates. The per diems in the \$200, \$250 a day range, I believe, are unreasonable on their face.").

125. John McCown conceded that the FMC has never officially adopted any of his proposed metrics, including the revenue-to-D&D ratio or per-TEU calculations, as the standard for assessing whether D&D is reasonable. RX 506-510, 513-514 (McCown Dep. Tr. 50:16-54:7, 57:3-58:9).

126. In John McCown's damages model, the first step reduces total D&D charges from \$9,695,192 to \$235,604 by comparing BAL's D&D incidence as a percentage of revenue (62.96%) to a purported industry norm of 1.53%, based on FMC data regarding the top nine carriers. RX 621 (BBBY PFOF ¶¶ 69).

127. The second step then applies a further 23.9% discount on the ground that even standard industry per diem rates are themselves unreasonably high, based on a blended average of three benchmarks: Trailer Bridge rates (21.3% of industry rates), European port rates (24.2%), and Knight Transportation trailer detention rates (26.3%). RX 621 (BBBY PFOF ¶¶ 69).

128. Trailer Bridge is a niche Caribbean carrier operating short-haul barge routes between the U.S. mainland and Puerto Rico, is not among the top thirty ocean carriers by capacity, and is not included in McCown's own "top nine" industry peer group. APP-96-97 (Vogt Expert Report ¶¶ 41-43).

129. Carl Vogt opined that Trailer Bridge's low per diem rates reflect its uniquely short haul distances and barge-based operations, which are not comparable to international ocean carriers operating at the Ports of Los Angeles and Long Beach during pandemic-era congestion. APP-96-97 (Vogt Expert Report ¶¶ 41-46).

130. Carl Vogt further opined that European port rates were not comparable and similarly inappropriate as a benchmark to BBY's claims because comparing worldwide demurrage and detention statistics to those at the busiest ports in the United States had no bearing on BBY's claim, given that the shipping markets and port operations were vastly different during the COVID period. APP-97 (Vogt Expert Report ¶ 47).

131. Carl Vogt also opined that Knight Transportation trailer detention rates reflect domestic over-the-road trucking operations involving 53-foot trailers, not ocean carrier container operations involving 40-foot containers. APP-97 (Vogt Expert Report ¶ 48).

XIII. ADDITIONAL CAUSATION-RELATED FACTS

132. Gary Kardian testified that, regardless of whether BBY hired additional labor, obtained more warehouse space, or otherwise took steps to mitigate the charges, BAL had no role in what BBY could or could not do operationally. *See* APP-695 (Kardian Dep. Tr. 154:14-20).

133. Gary Kardian confirmed that "[i]t is customary in the industry to take 1 or 2 business days after payment is received by a common carrier to process a 'release' whereby any original bill of lading is collected and funds are in their possession." He further opined that "any delays encountered between BBY and the respective NVOCC could have [been] attributed to demurrage charges accruing." RX 32 (Kardian Expert Report at 24).

134. BBY used NVOCCs and did not contract directly with BAL. RX 31 (Kardian Expert Report at 23); APP-1213 (Sun Dep. Tr. 85:17-20).

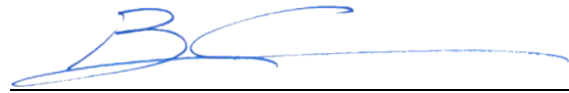
135. Gary Kardian confirmed that "[d]ual transactions at West Coast marine terminals are not new and began long before the COVID-19 pandemic." He further explained that when marine terminals are congested, "it logically makes sense that, to accommodate incoming vessels, the trade-off between import loads and export loads should be one-for-one." RX 49 (Kardian Expert Report at 41).

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

DATED: June 18, 2026

BMC LAW

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PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 18th day of June 2026, a true and correct copy of the foregoing **RESPONDENT BAL CONTAINER LINE CO., LIMITED’S PROPOSED FINDINGS OF FACT – PUBLIC VERSION – CONFIDENTIAL MATERIALS**

EXCLUDED was served via electronic mail on:

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